

the fixed interest bonds of any company, whether they are senior or junior liens. In the example above given, the ratio would be $1\frac{3}{4}$, as applied to either the first 5s or the debenture 6s. In bond circulars and annual reports this method is now commonly referred to as the “over-all basis” for computing interest coverage.⁹

It is important to bear in mind that fixed charges exclude income-bond interest which is a *contingent* charge. The words “interest charges” and “bonded debt” are also used, for convenience, to refer only to fixed interest bonds unless the context indicates otherwise.

There is no reason, of course, why the coverage for a senior bond should not be computed by the cumulative-deductions method also, and if this coverage is very large it may properly be regarded as an added argument in favor of the issue. But our recommendation is that in applying any *minimum* requirement designed to test the company’s strength, the total fixed charges should always be taken into account. The New York statute holds consistently to this very stand, and in our opinion it deserves to be approved and followed.

2. Minimum Requirements for Earnings Coverage. The preference accorded by the New York statute to railroad bonds over public-utility issues is no longer justified, and the more recent record of both groups suggests that their relative positions should be reversed. It is necessary, also, to add a minimum figure for industrial bonds, which should clearly be set higher than for either utilities or rails. Taking these factors into account, we should recommend the following minimum requirements for the coverage of total fixed charges:

Public utilities	$1\frac{3}{4}$ times
Railroads	.2 times
Industrials	.3 times

⁹ The phrases: “earnings ratio,” “times interest earned,” and “earnings coverage,” all have the same significance. The statement that “interest is covered $1\frac{3}{4}$ times” is more readily understood than the equivalent expression, sometimes used, that “the factor of safety is 75%,” and we should advise the consistent use of the former type of expression. Some authorities (e.g., Moody’s *Manual of Investments* prior to 1930) have used the expression “margin of safety” to mean the ratio of the balance after interest to the earnings available for interest. Example: If interest is covered $1\frac{3}{4}$ times the margin of safety becomes $\frac{3}{4} \div 1\frac{3}{4} = 42\frac{6}{7}\%$.